October 15, 2026

Annapurna Finance Private Limited: Rating confirmed as final for PTCs backed by microfinance loan receivables issued by Nimbus MFI Trust 06 2026

Summary of rating action

Trust Name	Instrument*	Current Rated Amount (Rs. crore)	Rating Action	Financial sector regulator#
Nimbus MFI Trust 06 2026	Series A1 PTC	58.43	[ICRA]AA+(SO); provisional rating confirmed as final	RBI

**Instrument details are provided in Annexure I*

#SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI.

Rationale

ICRA had assigned provisional rating to Pass-Through Certificates (PTCs) issued by Nimbus MFI Trust 06 2026 under a securitisation transaction originated by Annapurna Finance Private Limited {AFPL/Originator; rated [ICRA]A- (Stable)[1]}. The PTCs are backed by a pool of microfinance loan receivables originated by AFPL with an aggregate principal outstanding of Rs. 68.34 crore (pool receivables of Rs. 82.37 crore). AFPL is also the servicer of the rated transaction.

Further since the executed transaction documents are in line with the rating conditions and the legal opinion for the transaction has been provided to ICRA, the said rating has now been confirmed as final.

Pool performance summary

Parameter	Nimbus MFI Trust 06 2026
Payout month	September 2026
Months post securitisation	3
Pool amortisation	14.1%
Series A1 PTC amortisation	16.6%
Cumulative prepayment rate[2]	0.4%
Cumulative collection efficiency[3]	99.4%
Loss cum 0+ dpd[4]	1.1%
Loss cum 30+ dpd[5]	0.5%
Loss cum 90+ dpd[6]	0.0%
Cumulative cash collateral utilisation	0.0%

[1] *The current rating rationale of the originator, available at this link, provides its detailed rating history and rating transitions*

[2] *Cumulative Principal prepayment of contracts received till date / Principal outstanding on the pool at the time of securitisation*

[3] *Cumulative collections (including advances but excluding prepayments)/ Cumulative billings*

[4] *Unbilled Principal and overdue principal outstanding on contracts aged 0+ dpd / Principal outstanding on the pool at the time of securitisation*

[5] *Unbilled Principal and overdue principal outstanding on contracts aged 30+ dpd / Principal outstanding on the pool at the time of securitisation*

[6] *Unbilled Principal and overdue principal outstanding on contracts aged 90+ dpd / Principal outstanding on the pool at the time of securitisation*

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout. The principal is expected to be paid on a monthly basis (100% of the pool principal billed) but is promised on the final maturity date. Any surplus excess interest spread (EIS), after meeting the promised and expected payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of the Series A1 PTC principal.

The credit enhancement available in the structure is in the form of (i) a cash collateral (CC) of 5.00% of the initial pool principal, amounting to Rs. 3.42 crore, to be provided by the Originator, (ii) over-collateralisation (OC) of 14.50% of the initial pool principal for Series A1 PTC and (iii) the EIS of 15.47% of the initial pool principal for Series A1 PTC.

Key rating drivers and their description

Credit strengths

Granular pool supported by presence of credit enhancement – The pool is granular, consisting of 14,347 contracts, with no single borrower exceeding 0.1% of the pool principal, thereby reducing the exposure to any single borrower. Further, the credit enhancement available in the form of the CC, subordination in the form of OC and EIS would absorb some amount of the losses in the pool and provide support in meeting the PTC payouts.

No overdue contracts in the pool – The pool has been filtered in such a manner that there are no overdue contracts as on the cut-off date. Further, 100% of the pool principal have borrowers which have never been delinquent since disbursement, which is a credit positive.

Seasoned contracts in the pool – The pool has weighted average amortisation of ~18% as on the cut-off date thereby reflecting the borrowers' better credit profile, repayment track record and buildup of borrower equity.

Adequate servicing capability of Annapurna – Annapurna, which would also be servicing the loans in the transaction, has an established track record in the micro finance lending business of over two decades and has adequate underwriting policies and collection procedures.

Credit challenges

High geographical concentration – The pool has high geographical concentration with the top 3 states, viz. Bihar, Madhya Pradesh and Uttar Pradesh, contributing ~61% to the initial pool principal amount. The pool's performance would thus be exposed to any state-wide disruption that may occur due to natural calamities, political events, etc. Nonetheless, the contracts are well-diversified across multiple districts with the top 10 districts not exceeding 20% of the pool amount, which alleviates the concentration risk to some extent.

Higher vulnerabilities associated with microfinance sector – In the past, the microfinance sector has seen lower collections and elevated delinquencies on account of borrower overleveraging and attrition in collection teams. However, portfolio performance is strengthening in terms of reduction of delinquencies and improving collections post guardrail implementation.

Risks associated with lending business – The pool's performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans. The performance of microfinance loans would also be exposed to political and communal risks.

Key rating assumptions

ICRA's cash flow modelling for rating securitisation transactions involves the simulation of potential losses, delinquencies and prepayments in the pool. The losses and prepayments are assumed to follow a log-normal distribution. The assumptions for the losses and the coefficient of variation are considered on the basis of the values observed from the analysis of the past performance of the Originator's loan portfolio as well as the characteristics of the specific pool being evaluated. The resulting collections from the pool, after incorporating the impact of the losses and prepayments, are accounted for in ICRA's cash flow model, in accordance with the cash flow waterfall of the transaction.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during its tenure at 4.25% with certain variability around it. The average prepayment rate for the underlying pool is modelled in the range of 3.0% to 9.0% per annum. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transactions are as follows:

Transaction Name	Nimbus MFI Trust 06 2026
Originator	Annapurna Finance Private Limited
Servicer	Annapurna Finance Private Limited
Trustee	Axis Trustee Services Limited
CC Bank	Axis Bank Limited ([ICRA]AAA (Stable)/[ICRA] AA+ (Stable)/[ICRA]A1+)
Collection and payout account bank	Axis Bank Limited

Liquidity position:

Series A1 PTC: Superior

The liquidity for Series A1 PTC is superior after factoring in the credit enhancement available to meet the promised payout to the investor. The total credit enhancement would be more than 6 times the estimated loss in the pool.

Rating sensitivities

Positive factors – The sustained strong collection performance of the underlying pool of contracts (monthly collection efficiency >95%), leading to lower-than-expected delinquency levels, and an increase in the cover available for future investor payouts from the credit enhancement would result in a rating upgrade.

Negative factors – The sustained weak collection performance of the underlying pool of contracts (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher credit enhancement utilisation levels, would result in a rating downgrade. Weakening in the credit profile of the servicer could also exert pressure on the rating.

Analytical approach

The rating action is based on the trustee confirming compliance with the terms of the transaction and the executed transaction documents being in line with the terms initially shared with ICRA.

Analytical Approach	Comments
Applicable rating methodologies	Securitisation Transactions
Parent/Group support	Not Applicable
Consolidation/Standalone	Not Applicable

About the originator

Annapurna Finance Private Limited (AFPL), formerly known as Annapurna Microfinance Private Limited (AMPL), was formed by People's Forum, a society registered in Odisha. People's Forum has been engaged in various socio-economic development programmes, including microfinance, since 1990. In November 2009, People's Forum acquired an NBFC, Gwalior Finance and Leasing Company Private Limited, which was renamed AMPL in February 2010.

AFPL provides microcredit for mostly income-generating activities to women borrowers using the group lending model. It also offers other products such as individual loans to provide financial assistance to the MSME segment, home and home improvement loans, consumer durable loans, etc. As on June 2026, AFPL was catering to more than 28 lakh borrowers through a network of 1,830 branches spread across 478 districts in 22 states, while managing a portfolio of Rs. 11,707 crore.

Key financial indicators

Key financial indicators (Rs. Cr.) (Audited)

Annapurna Finance Private Limited	FY2025	FY2026	Q1FY2027*
Accounting as per	Ind-AS	Ind-AS	Ind-AS
Total income	2,183	2,045	588
Profit after tax	69	36	58
Total managed assets	12,588	13,674	14,280
Gross NPA	2.7%	2.9%	2.5%
Capital/Risk-weighted assets	29.6%	28.1%	28.5%

*Source: Company, ICRA Research; Amount in Rs. crore; Total managed assets = (Total assets + Impairment allowance + Assigned portfolio);*provisional*

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust Name	Current Rating (FY2027)					Chronology of Rating History for the Past 3 Years		
	Instrument	Initial Rated Amount (Rs. crore)	Current Rated Amount (Rs. crore)	Date & Rating in FY2027		Date & Rating in FY2026	Date & Rating in FY2025	Date & Rating in FY2024
				October 15, 2026	June 26, 2026	-	-	-
Nimbus MFI Trust 06 2026	Series A1 PTC	58.43	58.43	**[ICRA]AA+(SO)**	Provisional [ICRA]AA+(SO)	-	-	-

Complexity level of the rated instrument

Instrument	Complexity Indicator
Series A1 PTC	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: Click Here

Annexure I: Instrument details

Trust Name	Instrument Type	Date of Issuance / Sanction	Coupon Rate (p.a.p.m.)	Maturity Date	Current Amount Rated (Rs. crore)	Current Rating	Financial Sector Regulator#
Nimbus MFI Trust 06 2026	Series A1 PTC	June 22, 2026	8.05%	March 17, 2028	58.43	[ICRA]AA+(SO)	RBI

Source: Company

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Annexure II: List of entities considered for consolidated analysis

Not Applicable

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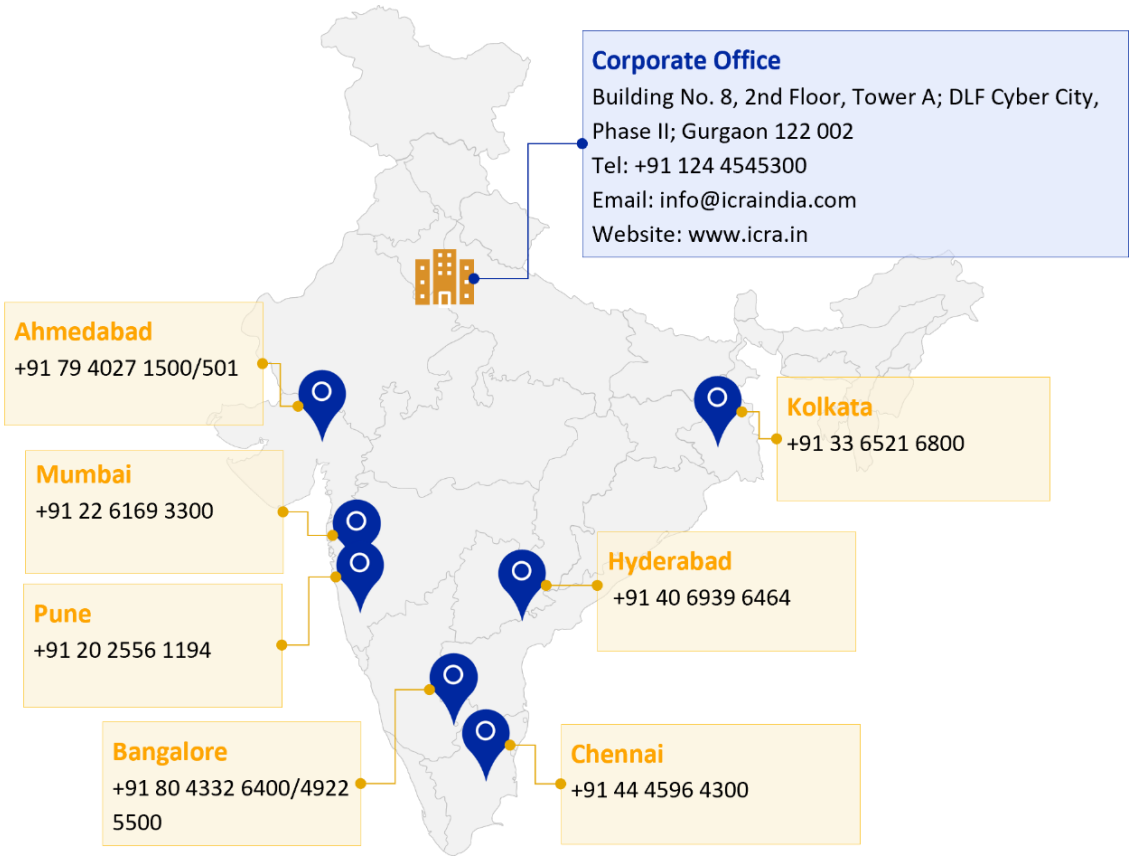
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